

HEDGEYE DAILY DIGEST

July 22, 2026 · GMT+8

*The regime is turning. Hedgeye is now nowcasting a shift from Monthly **#Quad4** (inflation slowing, growth slowing) toward Monthly **#Quad3** (inflation re-accelerating, growth slowing) for **August**, with **oil, copper, and Treasury yields** all breaking to bullish TRADE and TREND. The tactical response has been decisive: Keith McCullough **sold his bonds and curve-flatteners, covered commodity shorts** (Bitcoin bottomed in the first week of July), and rotated the cash into **selective growth, value, and international equities** while keeping the **US Dollar** long. Rates are now the primary macro risk.*

Today's Publications

SIGNAL STRENGTH STOCKS

Signal Strength Stocks · 07/22 12:46 AM GMT+8 (07/21 12:46 PM EDT)

The Signal Strength list contracted sharply to **78 names**, down from **86** the prior session — a **9-name purge against a single addition**, and a clear sign that momentum breadth is narrowing as the **#Quad4-to-#Quad3** rotation reshuffles leadership.

The lone addition was **Pinterest (PINS)**. The nine removals were **Ally Financial (ALLY)**, **Smith & Wesson (SWBI)**, **Outfront Media (OUT)**, **Affirm (AFRM)**, **MGM Resorts (MGM)**, **Live Nation (LYV)**, **Twilio (TWLO)**, **Toll Brothers (TOL)**, and **Home Depot (HD)**.

The exits skew toward **high-beta, consumer-discretionary, and rate-sensitive** names (AFRM, MGM, LYV, TOL, HD), consistent with Hedgeye's view that the biggest drawdowns during the just-ended Quad4 were concentrated in **high-beta momentum** exposure — which fell roughly **32% over the trailing month**. The screen is tightening around fewer, higher-quality bullish-TREND names rather than broadening.

Yesterday's Publications

EARLY LOOK — “Did #Quad4 Just End?”

Early Look · 07/21 07:34 PM GMT+8 (07/21 07:34 AM EDT) · Keith McCullough

What: KM's flagship macro note argues that global cross-asset signals are now flashing **#Quad3** — re-accelerating inflation alongside decelerating growth — even if the exact end-date of #Quad4 is asset-dependent (Bitcoin bottomed in early July; the ‘Retail Investor Most Owned’ basket only just went negative YTD).

Why: The signal set is broad and self-reinforcing: **USD** remains Bullish TREND vs. both Euro and Yen; the **CRB Commodities Index** closed at **383** (Alpha Code 362/365); **WTI oil** is Bullish TRADE/TREND (Alpha Code 78/82); **Dr. Copper** reflatd **+2.9%** after a fresh Bullish TREND breakout; **Ag** (corn, wheat) broke out to Bullish TRADE/TREND; and the **UST 2yr (4.16/4.02)** and **10yr (4.52/4.44)** yields are both Bullish. Bitcoin has flipped to Bullish TRADE / Bearish TREND (Alpha Code 64k/68k).

Who / cited: Earnings season is off to a strong start — **10% of the S&P 500** has reported **ROC growth of +52%** — framing the ‘Pod1 (revenue ROC) vs. Pod2 (EPS/cash-flow ROC)’ question that KM says favors **Secular Growth** names emerging from a Quad4 drawdown.

Risk Range™ Signals

Asset	Risk Range	TREND
UST 10Y Yield	4.51 - 4.62	Bullish
High Yield (HYG)	79.51 - 79.90	Bullish
Inv. Grade Corp (LQD)	106.7 - 107.9	Bearish

Asset	Risk Range	TREND
S&P 500 (SPX)	7418 - 7575	Bullish
NASDAQ (COMPQ)	25264 - 26106	Neutral
Russell 2000 (RUT)	2925 - 2992	Bullish
Technology (XLK)	172 - 184	Neutral
Health Care (XLV)	157 - 164	Bullish
Homebuilders (XHB)	104.00 - 111.00	Bullish
Utilities (XLU)	44.46 - 46.00	Bullish
Volatility (VIX)	15.67 - 19.50	Bearish
US Dollar (USD)	100.46 - 101.35	Bullish
Crude Oil (WTIC)	70.86 - 86.78	Bullish
Natural Gas	2.77 - 3.04	Bearish
Gold	3951 - 4156	Bearish
Copper	6.14 - 6.61	Bullish
Silver	54 - 61	Bearish

Takeaway: Execute on the world that appears, not a preferred narrative — inflation re-acceleration + growth slowing = **#Quad3**, which historically rewards **Secular Growth** and reflation exposure (oil, copper, ag, yields) while punishing crowded high-beta.

THE MACRO SHOW — Summary Notes, Tue July 21

The Macro Show · 07/21 10:12 PM GMT+8 (07/21 10:12 AM EDT)

What: The clearest articulation of the portfolio's pivot **from Monthly Quad4 toward Monthly Quad3**. Hedgeye is nowcasting a **narrow Quad3** for **August** — it doesn't require a dramatic inflation spike; if **July CPI** prints near **3.40% y/y** and August rises above that, it qualifies.

Why / Major changes: Keith **sold all curve-flattener exposure** (the curve is no longer flattening; the 10yr is making higher-lows with bullish Trade/Trend) and **exited the broader bond position** — despite bonds remaining his strongest full-cycle idea. **Commodity shorts were covered** (Bitcoin bottomed first week of July and ran toward **\$66k** after crossing its **~\$64k** Trade signal; the **palladium** short was closed). **Copper** is breaking higher on Trade/Trend, with **indium, styrene, and urea up ~14-20%** over the prior month.

Who: BULLISH — Colombia (COLO), JPMorgan (JPM), **Microsoft (MSFT) upgraded to fundamentally bullish**, US Growth (VOOG, 'not the Nasdaq'), Brazil (EWZ), New Zealand (ENZL), US Dollar. **BEARISH** — Tesla (TSLA), South Korea (KOSPI), India (INDA), Belgium (EWK), Germany (EWG/DAX).

Key numbers: **VIX ~18.65** (upper bound ~19, still 'Investable,' not 'Chop'); S&P down **~2.2%** from its high; high-beta momentum **-32%** on the month; below-average volume on the decline = disconfirming for a broad Trend breakdown. The **MOVE Index** is nearing a bullish-Trend signal (a rates risk).

Takeaway: Buy bullish-TREND equities near the **low end** of their Risk Ranges — selectively, not the index — and respect that **rates are the primary macro risk**. Hold **~20-30 positions**, not a concentrated handful.

MOMO TRACKER — Quad3 Signals Strengthen

Momentum Stock Tracker · 07/21 06:35 PM GMT+8 (07/21 06:35 AM EDT) · Drake / Ricci

What: The momentum dashboard (Mag7 and major equities) reinforcing the macro pivot — **oil and yields breaking higher** are strengthening the **#Quad3** signal set.

Takeaway: Momentum leadership is rotating with the regime: reflation and rate-sensitive winners strengthening while crowded high-beta momentum unwinds. Signals reflect that morning's Risk Range levels — a price/volume/volatility map, not a model portfolio.

DIGITAL ASSETS — Position Monitor

Digital Assets · 07/21 06:21 PM GMT+8 (07/21 06:21 AM EDT) · Steiner / Drake / Cooper

What: Two position-monitor changes: **MARA Holdings (MARA)** moved from **Short Bench** → **Best Idea Short**, and **Ethereum (ETH)** moved from **Best Idea Short** → **Short Bench**.

Takeaway: Conviction rising on **MARA** as the top short expression in miners, while the **ETH** short is downgraded to the bench — consistent with Bitcoin's early-July bottom and the broader covering of crypto/commodity shorts as Quad4 ended.

CRYPTO QUANT — BTC +1.6%, ETFs +\$265M D/D

Bitcoin Trend Tracker · 07/21 06:49 PM GMT+8 (07/21 06:49 AM EDT)

What: Overnight, **Bitcoin +1.6%**, **ETH signaling NEUTRAL**, US spot **ETF flows +\$265M day/day**, the London Stock Exchange moving toward **24/7 trading**, and roughly **\$200M of shorts liquidated**.

Takeaway: Flow and on-chain data support the constructive near-term crypto tape that prompted covering the Bitcoin short; ETF inflows and a short squeeze underpin the move, though ETH's neutral signal argues for selectivity within digital assets.

CAPITAL ALLOCATION PRO — Daily Dashboard

Capital Allocation Pro · 07/21 08:31 PM GMT+8 (07/21 08:31 AM EDT) · Hedgeye Asset Management

What: The daily model-portfolio dashboard. The latest Model Portfolio Changes take effect using **closing prices from Friday, July 17, 2026**; Trend/Tail levels across the firm's **68 ETFs** are on the standard 3-4 week refresh cycle.

Takeaway: The systematic ('Hubble' algorithm) model-portfolio process is being nudged in the same direction as the discretionary book — rotating exposure as the Quad signal turns. Specific holdings/weights sit in the linked dashboard; a July Key Callouts video is pending.

ETF PRO PLUS — 5 New ETF Pro Changes

ETF Pro Plus · 07/21 10:28 PM GMT+8 (07/21 10:28 AM EDT)

What: Five new ETF Pro changes were published to the ETF Pro Plus dashboard.

Takeaway: Intraday ETF re-ranking continues to reposition the sleeve toward #Quad3 winners (reflation / rate-sensitive) and away from Quad4 leadership; specific tickers are detailed on the ETF Pro Plus dashboard.